

Securities Legislation

Governance: Introducing The King IV Code & The Enlightened Shareholder Theory

Not law

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Key Thoughts

A proper appreciation of governance is not *only* concerned with the law and regulation



Judgment-Based or Principle-Based Regulation

General trend:

- Increasingly 'ethical dimension' to compliance
- Compliance is more than merely 'compliance with the letter of the law'
- Regulators are increasingly emphasizing "judgment-based supervision":
 - *"Is it the right thing to do; even if it is not currently prohibited?"*
 - Distinction: whether you **can** do something, as opposed to whether you **should** do something

Consequences of this shift:

- Offers flexibility as to *how* delivery of compliance with regulatory requirements occurs; *but* can give risk to unpredictability and inconsistencies
- Compliance will be, more than ever before, a matter for the entirety of the organisation



Focus on the *people* element

8:30

You can never separate people from the problem

*“The effectiveness of risk management ultimately depends less on the guiding framework than on the people who set up, coordinate, and contribute to risk management processes. **It is people, not frameworks, that identify, analyse, and act on risk information**... So the different organisational and cultural contexts in companies following the same risk management framework can lead to different implementation and use of risk management frameworks”*

-A Mikes & R S Kaplan

Harvard Business School White Paper – Towards a Contingency Theory of Enterprise Risk Management



Focus on the *culture* element

"In turn, these biases matter to corporate governance and compliance. If executives are overconfident, for instance, they are likely to take more risks (and be rewarded, on average, for so doing). All the more so, it would seem, if their excessively positive beliefs are viral and internalized company-wide. This risk-taking could relate to law, especially where the law is somewhat ambiguous.

Where the law calls for an assessment of the situation-whether in tort law's approach to negligence, or securities law's requirement that management analyse accurately the risks and uncertainties it currently faces-such managers and their firms may well fail to calibrate the way the law would want. The cure, if there is one (and it is deemed acceptable) is corporate governance at the top, compliance all the way down. And governance and compliance people would have to be behaviorally adept for the cure to work."



Focus on the *culture* element

“Over-optimism and overconfidence, however, are just two biases that may have survival power within firms. There are many more. If culture matters as much as researchers suggest, such adaptive beliefs and routines extend beyond any one person, becoming the grease that makes competitive firms particularly high performing, instilling a positive sense of power and identity. In the face of such a machine, ethics and compliance have their work cut out. This grease in the machine is what ethics and compliance programs have to worry about.

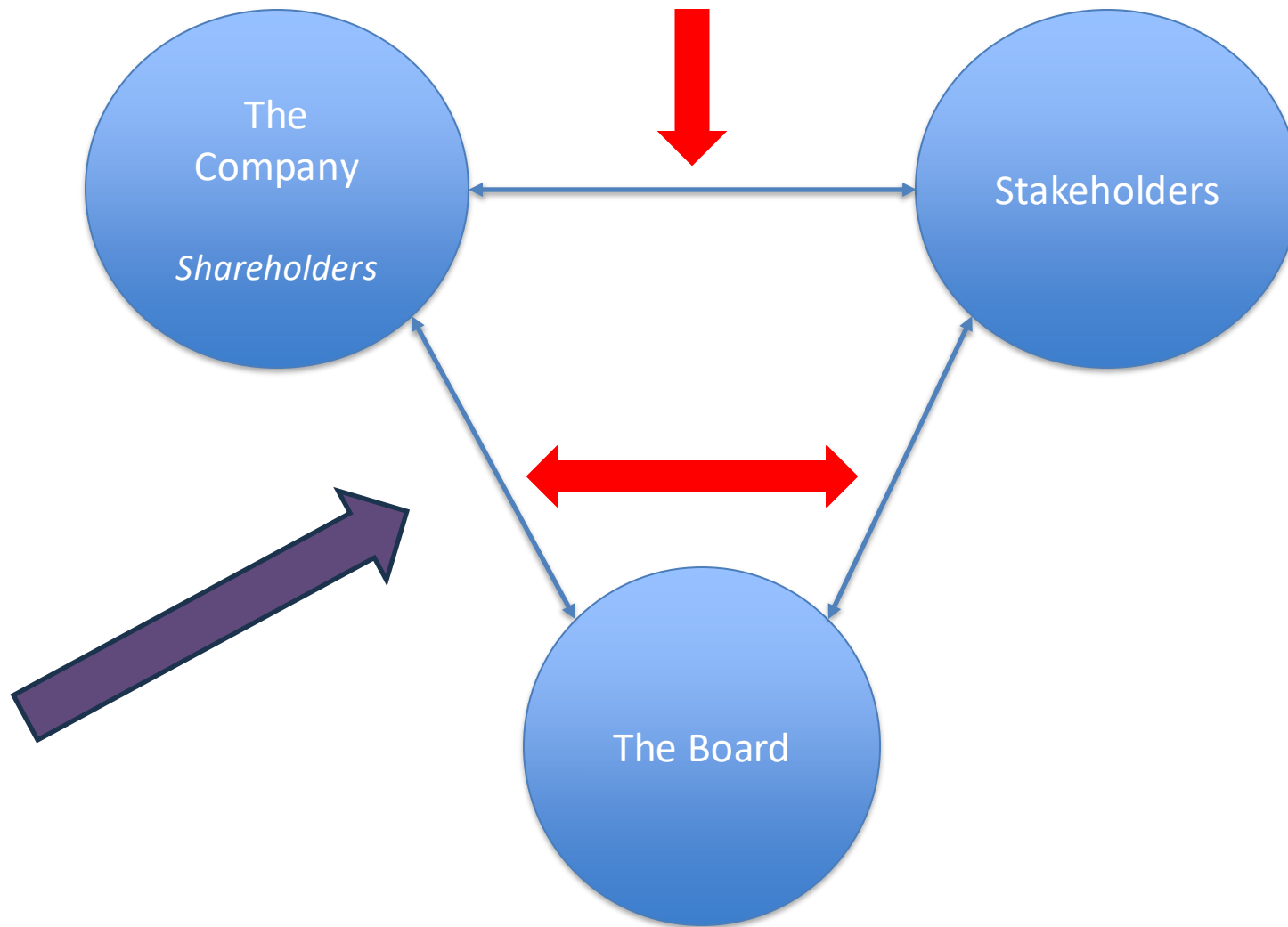
Taking culture seriously-appreciating the opportunities for transmitting values as well as anticipating the many hidden pathways of resistance and denial is a necessary step toward the sort of compliance that never attracts prosecutors' unwanted attention.”

- *Donald Langevoort*
Cultures of Compliance

Basic Regulatory Theory

What are the 'power dynamics' that underlie the regulation of companies – focusing specifically on corporate governance





Key Question

How do we define corporate governance for the African context?

In particular – how do we overcome the challenge of indeterminism and efficient accountability?



Howell:

- Impact of Globalisation:
 - Debate – *balance* the need for companies to operate in a manner that enhances both the wealth as well as social cohesion of socio-economic structures
- Corporate Governance Codes have typically been carried out without proper consideration of relative cultural and historical perspectives.
 - Examples:
 - Cadbury Report (1992)
 - King Report and Codes (1994, 2002, 2008, 2017, 2025???)
- Numerous variables:
 - Ethical
 - Cultural
 - Socio-economic

81:50

Contemporary Basic Models of Corporate Governance:

- (1) Anglo-Saxon or Anglo-American Model:
 - Primary focus: the enhancement of shareholder value (shareholder primacy)
 - *Justification/Foundation:*
 - Minimal state intervention leads to greater public welfare (republicanism in USA)
 - Key driver of economic activity is self-interest, a *laissez-faire* regulatory universe (free market economics)
 - 'Trickle-down economics' (i.e. jobs, taxation, generalized socio-economic impact on society)
 - Neo-classical view of market forces and the influences on decision-making, strategy, and *less* focus on the 'ethics' of governance (i.e. focus on simply "playing within the rules")
 - Commutative Justice — justice b/w individuals

“...if persons are entitled to pursue and promote their own self-interest unimpeded by legal or moral restraint to protect the good of others [it] would at the same time be the most efficient promotion of the common good.”

- Adam Smith (1776)

***An Inquiry into the Nature and Causes of the
Wealth of Nations***

"There is one and only one social responsibility of business - to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game, which is to say, engages in open and free competition without deception or fraud."

- Milton Friedman
Capitalism and Freedom

Should read this

41:00

BUT!!!





Contemporary Basic Models of Corporate Governance:

- (2) German/Continental Model:

- Primary focus: stakeholder groups *in general* (stakeholder primacy)
- Stakeholders:
 - Shareholders; employees; management and directors; customers; suppliers and creditors/debtors; *society (generally)? 42:50*
- *Justification/Foundation:*
 - Companies ***should be morally bound*** to consider and prioritise all *relevant* stakeholders
 - Institutions possess moral status and should, therefore, act in a ***morally responsible manner***
 - **Question:**
 - *What does this mean? What should we require from companies?*
No easy answer to this

Contemporary Basic Models of Corporate Governance:

- (2) German/Continental Model:

- **Company Morality:**

- Deontology (i.e. duty-based) vs Teleology (i.e. utilitarian-based)
 - Question: should we understand companies to have *a duty* to pursue a stakeholder-centric approach to governance; *OR* that a stakeholder-centric approach will maximise the value of the organization?

45:00

- **Typically argued to be 'more appropriate' for the African context**

- King Codes (especially King III and King IV)
 - See especially: King IV Report (i.e. outline of the stakeholder-inclusive approach of corporate governance, and the relationship with the triple-context and 6-capitals models)

more appropriate

* 48:20

*“An approach in which the governing body takes into account the **legitimate and reasonable needs, interests and expectations of all material stakeholders in the execution of its duties in the best interests of the organisation over time.** By following this approach, instead of prioritising the interests of the providers of financial capital, the governing body gives parity to all sources of value creation, including, among others, social and relationship capital as embodied by stakeholders. Consequently, this is an inclusive, stakeholder-centric approach which stands in contrast with a shareholder-centric approach.”*

- Definition: Stakeholder inclusivity

King IV: Glossary of Terms

“Organisations in the early twenty-first century are confronted with a unique set of moral issues requiring moral theory...stakeholder theory is a strong candidate for such a theory of organisational ethics. There, an amended principle of fair play – the principle of fairness – provides a valid source of moral obligations among stakeholders that has been therefore missing in the literature on stakeholder theory.”

- Robert Phillips

Stakeholder theory and organisational ethics

“Corporate governance is socially constructed, and thereby varies according to the institutional environment where it is embedded.

...

Indeed, a definitive set of best practices are difficult to identify ...”

- *K E Howell (citing authors such as Letza and Sorour)*
Chapter 1, Corporate Governance in Africa

“African ‘ubuntu’ does none of this. It simply exists. It is moral and good. It is emotional and deep, and people simply act in a way they intuitively know to be right. It is not something one chooses, and it is accepted as the way life is.

...

Ubuntu as a philosophy can also not be seen as a one size fits all solution to the challenges that the African society faces today.”

- T I Nzimakwe

**Chapter 8: Practising Ubuntu and leadership
for good governance The South African and continental dialogue, Corporate Governance
in Africa**

Key Question and Discussion:

What form of virtue, morality, or ethic should underpin Afrocentric corporate governance in the 21st Century?

Context?

Practical Realities?

Accountability to stakeholders – *how* can we do so *efficiently*?

What defines '*fairness*'?

Limitations?

The *fiction* of the 'enlightened shareholder'?

What do we require for companies to be ***good corporate citizens***?

African 'models' of corporate governance?

The Enlightened Shareholder Approach

A valuable addition to the governance debate; or a problematic legal fiction that does not properly account for the practical realities of governance?



Problem?

Should we regulate the policies and ethics of investment – in particular; place *a duty on shareholders* to exercise investment in specific ways?

How will/should/could this be enforced?



“As long-term investors with fiduciary duties, we simply cannot afford to ignore the importance of integrating sustainability issues, including ESG, into long-term investment strategies. As institutional investors we have the ability to influence and encourage the companies in which we invests to apply sound governance principles and to care for the environment in which they operate.”

- John Oliphant

Interview: launch of the CRISA in 2011



A Key Problem: Shareholder Apathy

What about the power and influence of shareholders?

What is the role of shareholders (in particular ***institutional shareholders***) in the governance debate?

The value and legitimacy (and, perhaps, the tension) of the *CRISA and the UN-endorsed Principles for Responsible Investment*?

1 : 11 : 50



The Enlightened Shareholder:

- *Directly* linked/rooted within the debate on the role of companies in society:
 - Profit maximisation?
 - Stakeholder inclusive? Communitarianism?
- Implicit rejection of *pluralist* approach in The Companies Act 71 of 2008:
 - See:
 - Section 76(3)(b) and majority of binding precedent in the common law
- The *legitimate interests* of stakeholders are subordinate to shareholder interests; BUT these interests *may* be taken into account when *it is in the best interests of the company to do so*.
- Ultimately: Companies Act is *shareholder centric*

14:00

The Enlightened Shareholder:

- Under the Companies Act:
 - Interests of stakeholders have, with some exceptions, received very little *formal* recognition.
 - Key exceptions:
 - Rights of employee representatives and trade unions in specific situations; fairly wide-ranging and powerful
 - Social and Ethics Committee (see: Section 72(4) read together with Regulation 43 of the Companies Regulations):
 - Public interest score – how calculated?
 - Clear focus on the importance of employees

Some have to
have:



Public Interest Score (PIS):

The PIS is determined as follows:

1. **1 Point per Employee:** Count the average number of employees throughout the financial year.
2. **1 Point per R1 Million Turnover:** Assign 1 point for every R1 million (or part thereof) in annual turnover.
3. **1 Point per R1 Million in Third-Party Liabilities:** Add 1 point for every R1 million (or part thereof) in liabilities owed to third parties at year-end.
4. **1 Point per Beneficial Shareholder:** Allocate 1 point for each individual holding a direct or indirect beneficial interest in the company's securities at year-end.

17:20

PIS Thresholds and Audit Requirements

The PIS determines the extent of financial reporting and auditing obligations. The key thresholds are:

1. PIS < 100:

1. No mandatory audit or independent review unless required by stakeholders or the company's memorandum of incorporation (MOI).

2. PIS ≥ 100 (Non-Profit Companies):

1. Subject to an **independent review** unless the company meets the audit requirements listed below.

3. PIS ≥ 350:

1. A mandatory **audit** is required for all companies.

4. PIS between 100 and 350 (Profit Companies):

1. An **audit** is required if the company's financial statements are internally compiled.
2. If the statements are independently compiled, only an **independent review** is required.

5. State-Owned Companies:

1. These are required to undergo an **audit**, regardless of their PIS



26:10

So: what is the *enlightened shareholder* concept?

- A. Good corporate reputation = valuable **asset** (i.e. valuable to shareholders; value of 'goodwill').
- B. Stakeholder interests are important driver of corporate **reputation**.
- C. *If* the interests of stakeholders are taken into account; the interests of the company are enhanced. *no company exists in vacuum*
- D. So it is in the interests of the company to enhance its own value by taking account of stakeholder interests.

BUT! — case study
Question:

Are we implicitly overstating the importance of stakeholder interests in defining the reputation of companies?



To whom do the directors owe their fiduciary duties?

As a director (and for the purposes of governance); how is this relevant?



03:09

"The principles to be applied in cases where the articles of a company confer a discretion on directors ... are, for the present purposes, free from doubt. They must exercise their discretion *bona fide* in what they consider - not what a court may consider - is in the interests of the company, and not for any collateral purpose."

- Lord Greene MR

***Re Smith & Fawcett Ltd* [1942] Ch 304 at 306 (CA)**



"It was strenuously urged that, though incorporation affected the relations of the shareholders to the external world, the company thereby becoming a distinct entity, the position of the shareholders inter se was not affected, and was the same as that of partners or shareholders in an unincorporated company.

I am unable to adopt that view...

There is no question of unfair dealing in this case. The directors did not approach the shareholders with the view of obtaining their shares. The shareholders approached the directors, and named the price at which they were desirous of selling. The plaintiffs' case wholly fails, and must be dismissed with costs."

- Swinfen Eady J

***Percival v Wright* [1902] 2 Ch 421 (ChD)**

Standards of directors conduct:

Section 76(3): Subject to subsections (4) and (5), a director of a company, when acting in that capacity, must exercise the powers and perform the functions of director—

- (a) in good faith and for a proper purpose;
- (b) ***in the best interests of the company***; and
- (c) with the degree of care, skill and diligence that may reasonably be expected of a person—

- (i) carrying out the same functions in relation to the company as those carried out by that director; and
 - (ii) having the general knowledge, skill and experience of that director

collective body of s/h's both past, present + future
(reputational aspect)

”The clear implication of the common-law principle that directors owe their fiduciary duties to the company, i.e. the collective body of shareholders, whether present or future shareholders, is that they do not as a general principle owe their fiduciary duties to individual shareholders; or to creditors of the company while the company is a going concern; or even to the employees of the company. All these principles continue to apply to our corporate law regime, as the Act has effected no change to the law in this respect.”

- Farouk HI Cassim

Chapter 12 (The Duties and Liability of Directors)
Contemporary Company Law 2nd Edition

06:50

In sum:

- The Companies Act (as read together with the common law) is clear – the duties of directors are focused on the maximisation of shareholder wealth (shareholder-centric)
- But:
 - *Should this be fundamentally reconsidered taking into account our current context?*
- ***The Crux of the Problem:***
 - The debate should be focused not on whether directors ‘should’ or ‘may’ take account of stakeholder interests; but whether they ‘**must**’ do so.



10:40

The Enlightened Shareholder:

“The gist of the matter is that the Act does not impose any mandatory and legally enforceable duty on the directors to take stakeholder interests into account”

- Farouk HI Cassim

Chapter 12 (The Duties and Liability of Directors)
Contemporary Company Law 2nd Edition



“[C]harity has no business to sit at boards of directors qua charity. There is, however, a kind of charitable dealing which is for the interests of those who practice it, and to that extent and in that garb (I admit not a very philanthropic garb) charity may sit at the board, but for no other purpose...

The law does not say that there are to be no cakes and ale, but that there are to be no cakes and ale except such as are required for the benefit of the company. ”

- Bowen LJ

Hutton v West Cork Railway Co (1883) 23 ChD 654 (CA) at 673

“It would have been better had the wording of section 76(3)(b) been clearer, as the current wording may create the impression that shareholder primacy is still preferred. If one argues that a stakeholder approach is followed in the Act, then it remains unclear whether directors should consider the interests of stakeholders as suggested in the inclusive approach or whether directors should act as determined by the enlightened shareholder value approach. In terms of the inclusive approach directors must consider the interests of various stakeholders on a case by case basis. In the end the decision must be in the best interests of the company, even if it is to the detriment of the shareholders.

The enlightened shareholder value approach is more restricted: stakeholder interests must be considered but, over the long-term, it must be in the best interests of the shareholders collectively.

- Irene-Marie Esser

Corporate Social Responsibility: A Company Law Perspective

Reading



Prescribed:

1. I Esser 'Corporate Social Responsibility: A Company Law Perspective' (2011) 23 SA Merc LJ 317.

Optional:

1. FHI Cassim, Chapter 12: The Duties and Liability of Directors in *Contemporary Company Law* (Second Edition); pages 514 – 521 (12.2.3 – end 12.2.5)
2. I Esser & JJ du Plessis 'The Stakeholder Debate and Directors' Fiduciary Duties' (2007) 19 SA Merc LJ 346 at 358.

Thank You

